CMA Final
Group 3 - Paper 13

Commerce Educators

Corporate And Economic Laws

LAW
QUESTION
BANK



CS Disha Lohana (AIR 5,3,14)

CHAPTER – 6

BOARD MEETINGS & BOARD COMMITTEES

Q1. What is the required quorum for holding a Board meeting, as per the provisions of the Companies Act, 2013? Examine the following cases in this context:

(i) In a Board meeting, only 3 directors were present out of the total of 11 directors. None of the 3 directors was interested in any of the items of the agenda. Examine the validity of meeting.

(ii) In a meeting of the Board, out of the total of 11 directors, 5 directors were present, of which only 2 directors were not interested in one of the transactions.

How should the meeting deal with the matter? June 2025 (7 Marks)

Ans. Quorum for Board meetings -The provisions relating to quorum for a Board meeting are contained in section 174.

Unless the articles provide for a higher quorum, the quorum shall be 1/3rd of the total strength' (any fraction contained in that 1/3rd shall be rounded off to one) or two directors whichever is higher [Section 174(1)].

However, section 174(3) states that where at any time the number of interested directors (present in the Board meeting) exceeds or is equal to 2/3rd of the 'total strength' (any fraction contained in that 2/3rd shall be rounded off as one), the number of disinterested directors present at the meeting, being not less than two, shall be the quorum.

(i) In the instant case, 1/3rd of 11 comes to 3.67; the fraction 0.67 shall be rounded off to 1. Thus, at least 4 disinterested directors must be present in the Board meeting. However, only 3 directors are present in the Board meeting.

Moreover, there is no interested director present in the meeting and so, the benefit of section 174(3) cannot be availed.

Hence, the quorum was not present and so the meeting has not been validly held.

(ii) In the given case, the required quorum comes to 4 directors, 5 were present, so the basic requirement is fulfilled.

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During one of the transactions, only 2 directors were not interested. The requirement of section 174(3) is met with.

The quorum requirement is thus fulfilled.

Q2. State the responsibilities of an Audit committee constituted in a company. Is any recommendation of such committee binding on the Board of Directors of the company?
June 2025 (7 Marks)

Ans. **Responsibilities of Audit Committee:**

Every Audit Committee shall act in accordance with the terms of reference specified in writing by the Board which shall, inter alia, include:

(1) the recommendation for appointment, remuneration and terms of appointment of auditors of the company.
Note: In case of Government companies, in this clause, for the word 'recommendation for appointment, remuneration and of appointment' the words 'recommendation for remuneration' shall be substituted, as in case of Govt. company, appointment is made by the C&AG.

(2) review and monitor the auditor 's independence and performance, and effectiveness of audit process

(3) examination of the financial statement and the auditors' report thereon.

(4) approval or any subsequent modification of transactions of the company with related parties.
The Audit Committee may make omnibus approval for related party transactions proposed to be entered by the company subject to such conditions as may be prescribed.

(5) scrutiny of inter-corporate loans and investments.

(6) valuation of undertakings or assets of the company, wherever it is necessary.

(7) evaluation of internal financial controls and risk management systems.

(8) monitoring the end use of funds raised through public offers and related matters.

Binding nature of recommendation of Audit Committee -

- Like any other committee, shall be recommendatory in nature.
- However, if the Board had not accepted any recommendation, the reasons for the same shall be recorded in the Minutes of the Board Meeting.

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- If the company is a listed company, SEBI (LODR) Regulations require the company to disclose the reasons for not accepting, in the corporate governance section of the Annual Report or to the Stock Exchange.

Q3. Under the Companies Act, 2013, discuss the obligations in respect of maintenance of registers and records by the companies in India. Enumerate any ten and maintained by such companies. June 2025 (7 Marks)

Ans. **Registers and records to be maintained by companies -**

- Every company has to maintain at its registered office certain registers and records for statutory, statistical, disclosure, information management and MIS purposes.
- Further, the company is also required to keep these records within the vicinity of the place prescribed for it by the laws.
- Every company incorporated under the Act is required to keep at its registered office, inter alia, the following statutory books and registers:
  - Register of investments in securities not held in company's name in Form MBP-3. [Under Section 187(3)]
  - Register of deposits. [Section 73 and Rule 14 of the Companies (Acceptance of Deposits) Rules,2014]
  - Register of securities bought back in Form SH-10. [Section 68(9)]
  - Register of charges in Form CHG-7. [Section 85(1)]
  - Register and index of members in Form MGT-1. [Sections 88(1)(a)]
  - Register and index of debenture holders in Form MGT-2. [Section 88(1)(b)]
  - Register and index of beneficial owners. [Section 88(1)(3)]
  - Foreign register of members and debenture holders and their duplicates in Form MGT-3. [Section 88(1)(4)]
  - Copies of Annual Return [Section 94(1)]
  - Books containing minutes of general meeting and of Board and of committees of Directors. [Section 118]
  - Register of Postal Ballot [Section 110]

Q4. What is the quorum of Company's Board Meeting in the following cases (explain as per the provisions of the Companies Act, 2013)?

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(i) A public company has 10 directors (including 4 non-executive directors). But 8 directors (including 4 non-executive directors) attended the BOD meeting.

(ii) Startup Odisha Ltd. is a section 8 company which has 8 non-executive directors. 3 directors attended the meeting.

(iii) BOD of X Ltd. consists of 9 executive directors and 3 non-executive directors. Total 6 executive directors and 3 non-executive directors attended the BOD meeting. A business was transacted in which one director was interested.

Articles of Association has fixed the quorum as 5. June 2024 (7 Marks)

Ans. Quorum of company's Board meetings

(i) According to Section 174 of the Companies Act, 2013 the quorum for a Board Meeting shall be one third of its total strength or two directors, whichever is higher.
Here the strength is 10. 1/3rd of total strength is 3.33 or 4. So the quorum is 4. (any fraction rounded as one).

(ii) The companies covered under section 8 of the Act shall constitute quorum for the Board meeting, either eight members or 25% of its total strength whichever is less.
Provided that quorum shall not be less than two members.
As Startup Odisha Ltd. is a section 8 company, the quorum will be decided as per above provisions. Here 1/4th of total directors is 2. Hence the quorum is 2.

(iii) Interested Director means any director whose presence cannot be counted for the purpose of forming a quorum at a meeting of the Board, at the time of the discussion or vote on any matter.
The Act prohibits an interested director from participating in the discussion of or voting on, any contract or arrangement entered into, or to be entered into, by or on behalf of the company in which his presence shall not be counted for the purpose of forming a quorum at the time of any such discussion or vote and if he does vote, his vote shall be void.
There is requirement of 12/3 i.e., 4 directors to be quorum. However, now 8 directors are present (excluding the interested director). Hence quorum is available for a valid BOD meeting of X Ltd.

Q5. The last Board meeting of ABC Structurals Ltd., a public limited company was held on 25th January, 2022. The MD wants that in the next Board meeting the annual financial

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statements to be placed and approved. The Accounts manager feels that the financial statements shall be ready latest by 15th June only. Mr. Ahuja is the chairman of audit committee, who will not be in India during the whole of June. MD feels that we get the financial statements approved through video board meeting. Presently, there is no chairman in the company, MD chairs the Board meetings. State your views.

June 2023 (4 Marks)

Ans. MD of the company need to know and understand and comply with the following-

(i) As per section 173(1), Next board meeting shall have to be held within 120 days of the previous meeting.

Therefore next Board meeting cannot be held in June.

There shall be another meeting to be held when financial statements are ready.

(ii) Rule 4 of the Companies (Meetings of Board and its Powers) Rules, 2014 relating to "matters not to be dealt with in a meeting through video conferencing or other audio visual means" **is deleted**.

Thus, Board of directors' can transact any matters including approval of annual financial statements and approval of prospectus through video conferencing.

(**PRIOR TO AMENDMENT** - Rule 4 of Companies (meeting of Board and its powers) Rules prohibits approval of annual financial statements , Approval of board's report; Approval of prospectus; Audit committee meeting for approval of financial statements; and Amalgamation, merger, demerger, acquisition, and takeover through video meetings.)

Q6. All related party transactions shall require approval of the Audit Committee and the Audit Committee may make omnibus approval for related party transactions proposed to be entered into by the company subject to certain conditions. Elucidate that conditions to omnibus approval for related party transactions. Dec 2023 (7 Marks)

Ans. **Omnibus approval for related party transactions on annual basis (Rule 6A) -** All related party transactions shall require approval of the Audit Committee and the Audit Committee may make omnibus approval for related party transactions proposed to be entered into by the company subject to the following conditions, namely -

(1) The Audit Committee shall, after obtaining approval of the Board of Directors, specify the criteria for making the omnibus approval which shall include the following, namely:

- maximum value of the transactions, in aggregate, which can be allowed under the

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omnibus route in a year

- the maximum value per transaction which can be allowed.
- extent and manner of disclosures to be made to the Audit Committee at the time of seeking omnibus approval
- review, at such intervals as the Audit Committee may deem fit, related party transaction entered into by the company pursuant to each of the omnibus approval made.
- transactions which cannot be subject to the omnibus approval by the Audit Committee.

(2) The Audit Committee shall consider the following factors while specifying the criteria for making omnibus approval, namely:

- repetitiveness of the transactions (in past or in future).
- justification for the need of omnibus approval.

(3) The Audit Committee shall satisfy itself on the need for omnibus approval for transactions of repetitive nature and that such approval is in the interest of the company.

(4) The omnibus approval shall contain or indicate the following:

- name of the related parties.
- nature and duration of the transaction.
- maximum amount of transaction that can be entered into.
- the indicative base price or current contracted price and the formula for variation in the price, if any, and
- any other information relevant or important for the Audit Committee to take a decision on the proposed transaction:

Provided that where the need for related party transactions cannot be foreseen and aforesaid details are not available, the audit committee may make omnibus approval for such transactions subject to their value not exceeding 1 crore per transaction.

(5) Omnibus approval shall be valid for a period not exceeding one financial year and shall require fresh approval after the expiry of such financial year.

(6) Omnibus approval shall not be made for transactions in respect of selling or disposing of the undertaking of the company.

(7) Any other conditions as the Audit Committee may deem fit.

Q7.The Board of Directors of PQR Limited met thrice in the year 2022 and 4th meeting

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though called but could not held for want of quorum. Examine with reference to the relevant provisions of the Companies Act, 2013, whether any provision of the Act has contravened. Dec 2023 (7 Marks)

Ans. In terms of section 173(1) of the Companies Act, 2013, a company must hold a minimum number of four meetings of its Board of directors every year in such a manner that not more than 120 days shall elapse between two consecutive meetings of the Board.

- The proviso to this subsection provides that the Central Government may by notification, direct that these provisions will not apply in relation to any class or description of companies or may apply subject to such exceptions, modifications or conditions as may be specified in the notification .

- As per section 174(4) of the Act, if a meeting of the Board could not be held for want of quorum then, unless the articles otherwise provide the meeting shall automatically stand adjourned till the same day in the next week, at the same time and place, or if that day is a National Holiday till the next succeeding day which is not a national holiday, at the same time and place.

- If there is no Quorum at the adjourned Meeting also, the Meeting shall stand cancelled. An adjourned Meeting being a continuation of the original Meeting, the interval period in such a case, shall be counted from the date of the original Meeting. Thus, in case of an adjourned Meeting, the gap of one hundred and twenty days for the purpose of fixing up the date of the next Meeting or for any other purpose should be counted from the date of the original Meeting .

- In this case, the Board meeting of PQR limited was held 3 times and for the 4th time the meeting was called but could not be held for want of quorum.

Hence, as per the provisions of the Companies Act, 2013 the Company (PQR) has violated the provisions with respect to convening the Board Meetings.
But if the 4th Board meeting was adjourned due to want of quorum and the adjourned meeting was duly held within the stipulated time, then the company has not contravened the provisions of the Act.

Q8. An Audit Committee of a listed company constituted under Section 177 of the Companies Act, 2013, submitted its report containing the recommendations in respect of certain matters to the Board. Board, however, did not accept the recommendations.

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In the light of the situation. analyzc:

(i) Whether the Board is not to accept the recommendations of the Audit Committee.

(ii) If so, what alternative course of action, would the Board resort to?

Dec 2023 (3 Marks)

Ans. According to Section 177(8) of the Companies Act, 2013, the Board's Report shall, under the provisions of Section 134 (3) which is laid before the general meeting where the financial statements of the company are placed before the members, disclose the composition of the Audit Committee and where the Board has not accepted any recommendations of the Audit Committee, the same shall also be disclosed along with the reasons therefor.

- Hence, the Board is empowered not to accept the recommendations of the Audit Committee but only under genuine circumstances and supported by legitimate reasons for non-acceptance.
- If the Board does not accept the recommendations of the Audit Committee, it shall disclose the same in its report under section 134 (3) which is placed before the general meeting of the company.

Q9. Mr. K and Mr. L who are the directors of RR Limited informed the company about their inability to attend the Board meetings because the notice thereof was not served on them. Discuss whether there is any default on the part of RR Limited and the thereof.

Dec 2022 (4 Marks)

Ans. Under section 173 (3) of the Company Act, 2013 a meeting of the Board shall be called by giving not less than seven days notice in writing to every director at his address registered with the company and such notice shall be sent by hand delivery or by post or by electronic means.

- Section 173 (4) further provides that every office of the company whose duty is to give notice under this section and who fails to do so shall be liable to a penalty of Rs. 25,000/-

- In the given case, as no notice was served on Mr. K and Mr. L who are the directors of R R Limited, every officer responsible for such default in serving notice shall be punishable with fine of Rs. 25,000/- as required by Section 173 (4).

- Neither the Companies Act, 2013 nor the Companies (Meetings of the Board and its Powers) Rules, 2014 lay down any specific provision regarding the validity of a resolution passed by the Board of Directors in case notice was not served to all the directors. The Companies Act, 2013 clearly provide for the notice to be sent to every directors.

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- The Supreme Court, in the case of Parmeshwari Prasad vs. Union of India (1974) has held that the resolutions passed in the board meeting shall not be valid, since notice to all the Directors was not given in writing.
- Hence, even though the directors concerned knew about the Board meeting, the meeting shall not be valid and resolutions passed thereat also shall not be valid.

Q10. An Audit Committee of a Public Limited Company constituted under section 177 of the Companies Act, 2013 submitted its report of its recommendation to the Board. The Board, however, did not accept the recommendations. In the light of the situation, analyze whether ;

i. The Board is empowered not to accept the recommendations of the Audit Committee.
ii. If so, what alternative course of action, would be Board resort to ?

Dec 2018 (4 Marks)

Ans. According to Section 177(8) of the Companies Act, 2013, the Board's Report shall, under the provisions of Section 134 (3) which is laid before the general meeting where the financial statements of the company are placed before the members, disclose the composition of the Audit Committee and where the Board has not accepted any recommendations of the Audit Committee, the same shall also be disclosed along with the reasons therefor.

- Hence, the Board is empowered not to accept the recommendations of the Audit Committee but only under genuine circumstances and supported by legitimate reasons for non-acceptance.
- If the Board does not accept the recommendations of the Audit Committee, it shall disclose the same in its report under section 134 (3) which is placed before the general meeting of the company.

Q11. The Board of Directors of Best Consultants Limited, registered in Kolkata, proposes to hold the next board meeting in the month of May, 2017. They seek your advice in respect of the following matters :

a) Can the board meeting be held in Chennai, when all the Directors of the Company reside at Kolkata?

b) Is it necessary that the notice of the board meeting should specify the nature of business to be transacted?

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Advice with reference to the relevant provisions of the Companies Act, 2013.

Dec 2018 (4 Marks)

Ans- **.a)** There is no provision in the Companies Act, 2013 under which the board meetings must be held at any particular place.

- The Companies Act lays down the provisions for holding meetings by video conferencing, sending notices, procedures at the meeting etc.
- Therefore, there is no difficulty in holding the board meeting at Chennai even if all the directors of the company reside at Kolkata and the registered office is situated at Kolkata provided that the requirements regarding the holding of a valid board meeting and the other provisions relating to the signing of register of contracts, taking roll calls, etc. are complied with.

b) Section 173(3) of the Companies Act, 2013 provides for the giving of notice of every board meeting of not less than seven days to every director of the company.

- There is no provision in the Act laying down the contents of the notice. Hence, it may be construed that notice may be interpreted as intimation of the meeting and does not necessarily include the sending of the Agenda of the meeting.
- However, considering the importance of Board Meetings and the responsibilities placed on the Directors for decisions taken at the meetings, it is inevitable for them to be properly prepared and informed about the items to be discussed at the Board Meetings.
- As a matter of good secretarial practice, the notice should include full details and particulars of the business to be transacted at the Board Meetings.
- The articles of association of the company may make it mandatory to do so in almost all cases.

- However, **As per SS- 1**, The Agenda, setting out the business to be transacted at the Meeting, and Notes on Agenda shall be given to the Directors at least seven days before the date of the Meeting, unless the Articles prescribe a longer period.

Q12. Examine with reference to the provisions of the Companies Act, 2013 whether notice of a Board Meeting is required to be sent to the following persons:

(i) An interested Director;
(ii) A Director who has expressed his inability to attend a particular Board Meeting;
(iii) A Director who has gone abroad (for less than 3 months). June 2017 (6 Marks)

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Ans. Notice of Board meeting

(i) **Interested director:** Section 173(3) of the Companies Act, 2013 makes it mandatory for every director to be given proper notice of every board meeting. It is immaterial whether a director is interested or not. In case of an Interested Director, notice must be given to him even though he is precluded from voting at the meeting on the business to be transacted.

(ii) A **Director who has expressed his inability to attend a particular Board Meeting:** In terms of section 173(3) even if a director states that he will not be able to attend the next Board meeting; notice must be given to that director.

(iii) **A director who has gone abroad:** A director who has gone abroad is still a director. Therefore, he is entitled to receive notice of board meetings during his stay abroad, The Companies Act, 2013, allows delivery of notice of meeting by electronic means also. This is important because the Companies Act, 2013 permits a director to participate in a meeting by video conferencing or any other audio visual means.

Q13. Audit Committee is to be formed by each and every company and the auditor has right to vote in the meeting of such Audit Committee, Comment. June 2016 (4 Marks)

Ans. Formation of Audit Committee:

As per section 177 of the Companies Act, 2013 read with the Companies (Meeting of Board and its Powers) Rules, 2014, audit committee is to be formed by every listed company and following classes of companies:

(i) all public companies with a paid up capital of ten crore rupees or more,

(ii) all public companies having turnover of one hundred crore rupees or more,

(iii) all public companies having in aggregate, outstanding loans or borrowings or debentures or deposits exceeding fifty crore rupees or more.

Further, the auditor shall have the right to be heard in the meetings of the Audit Committee when it considers the Auditor's Report but shall not have the right to vote.

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EXTRA PRACTICE QUESTIONS – CS & CA PYQs

Q14. State whether if -

(i) **Board meeting of a company can be held at any place.**
(ii) **Board meetings of company to be held at the registered office of the company during the workingng hours on a day that is not a public holiday.**

Ans. As per Section 96(2) Of the Companies Act, 2013, AGM can be called during business hours, that is, between 9 a.m. and 6 p.m. on any day that is not a national Holiday.

No such similar provisions for holding board meeting. Hence, The Board meeting may be held at any place convenient to the directors even outside the business hours and even on a national holiday unless the articles of association of the Company provide otherwise.

Q15. XYZ Ltd. has 6 directors on its Board of Directors, Out of 6 directors, 5 are foreigners and they reside in America. The company wants to convene its Board Meeting in Mumbai but all the 5 directors are pre-occupied and are not in a position to travel to India. Advise the company regarding conduct of such a board meeting as per provisions of the Companies Acts 2013 and relevant rules.

Will the same rules are provisions applicable in case the company wants to approve annual financial statements in the board meeting?

Ans.: **Participation of directors in board meeting** – The participation of directors in a meeting of the Board may be either in person or through video conferencing or other audio visual means, as may be prescribed, which are capable of recording and recognizing the participation of the directors and of recording and storing the proceedings of such meetings along with date and time.

- **As per SS- 1** , directors participating through Electronic Mode in a Meeting shall be counted for the purpose of quorum, unless they are to be excluded for any items of business under the provisions of the Act or any other law.
- Rule 4 of the Companies (Meetings of Board and its Powers) Rules, 2014 relating to "matters not to be dealt with in a meeting through video conferencing or other audio visual means" is deleted. Thus, Board of directors of XYZ Ltd. can transact any matters including approval of annual financial statements through video conferencing.

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Q16. A Board meeting of a listed public company was called at shorter notice 'to transact an urgent business'. None of the Independent directors could attend the meeting. Examine the validity of resolution(s) passed at the meeting referring to the provisions of the Companies Act, 2013.

Ans.: **Notice of Board Meeting [Section 173(3)]**

- A meeting of the Board shall be called by giving not less than 7 days notice in writing to every director at his address registered with the company and such notice shall be sent by hand delivery or by post or by electronic means.
- Shorter notice for urgent business: A meeting of the Board may be called at shorter notice to transact urgent business subject to the condition that at least one independent director, if any, shall be present at the meeting.
- However, in case of absence of independent directors from such a meeting of the Board, decisions taken at such a meeting shall be circulated to all the directors and shall be final only on ratification thereof by at least one independent director, if any.
- Accordingly all decisions taken at the meeting needs to be circulated to all the directors and shall be final only on ratification of at least one independent director.

Q17. Jolly Retails Ltd. issued a notice for the meeting of its Board of directors scheduled for on 5th June 2019 at its corporate office. One of the directors intimated that he would be participating in the meeting through Video conferencing. The Secretary contended that the meeting cannot be participated through video conferencing and that the concerned director cannot insist that the company should provide video conferencing facilities for attending the board meeting.

Is the contention of the Secretary tenable as per the provisions of the Companies Act, 2013? Discuss .

Ans.: Participation of directors in board meeting [Section 173(2)]:

- The participation of directors in a meeting of the Board may be either in person or through video conferencing or other audio visual means, as may be prescribed, which are capable of recording and recognizing the participation of the directors and of recording and storing the proceedings of such meetings along with date and time.
- As per SS-1 , directors participating through Electronic Mode in a Meeting shall be counted

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for the purpose of quorum, unless they are to be excluded for any items of business under the provisions of the Act or any other law.

- In this case of Achintya Kumar Barua v. Ranjit Barthkur, the NCLAT has held that, even one of the directors so desires, a company is bound to provide facilities to directors to participate in board meetings by video conferencing.
- Thus, Jolly Retail Ltd. is bound to provide necessary Video conferencing facilities to the director.

Q18. X is a company secretary Of XYZ ltd. He is of the opinion that the notice, agenda and notes on agenda of the board meeting should be send only to the alternate director and not to the original director of the Company. Advice in this matter.

Ans.: Notice of Board Meeting –

- A meeting of the Board shall be called by giving not less than 7 days notice in writing to every director at his address registered with the company and such notice shall be sent by hand delivery or by post or by electronic means.
- As per SS- 1, the Notice, Agenda and Notes on Agenda shall be sent to the Original Director also at the address registered with the company, even if these have been sent to the Alternate Director.
- However, the mode of sending Notice, Agenda and Notes on Agenda to the original director shall be decided by the company.

Q19. Rajdeepn a director of the company, intimated his willingness to participate in the Board meeting scheduled to be held in August; 2021 through video conferencing. He declared his intention for participation in the scheduled Board meeting through Video conferencing mode to company in July, 2021.

The Chairman of the company has informed Rajdeep that he has to inform at least 3 months in advance to participate in the Board meeting through video conferencing. Considering the applicable provisions of the Companies Act, 2013, decide whether the action of the Chairman is valid?

Can Rajdeep attend the Board meeting scheduled to be held in August, 2021 through video conferencing.

Ans.: The provisions for conducting Board meeting through video conferencing have been

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specified in Rule 3 of the Companies (Meetings of Board and its Powers) Rules, 2014.

- Director can attend Board meeting electronically. At the beginning of calendar year, director may intimate his intention to participate in Board meeting through video conferencing. Such declaration shall be valid for one year. If he does not intimate, it shall be presumed that the director shall attend the Board meeting in person.
- As per SS- 1 , the notice of the Board meeting shall inform the directors regarding the option available to them to participate through video conferencing mode or other audio-visual means, and shall provide all the necessary information to enable the directors to participate through video conferencing mode or other audio-visual means.
- A director intending to participate through video conferencing or audio-visual means shall communicate his intention to the Chairperson or the Company Secretary of the company.
- If the director intends to participate through video conferencing or other audio visual means, he shall give prior intimation to that effect sufficiently in advance so that company is able to make suitable arrangements in this behalf.
- It was held in case of Rupak Gupta v. UP Hotels Ltd., Sub-Rule 3 (3)(e) of Companies (Meeting of Board and its Powers) Rules, 2014 does not intend to say that if an intimation to participate in a meeting through electronic mode is not given at the beginning of the year, the directors are not entitled to participate in any meeting through electronic mode.
- Therefore, the director does not give intimation at beginning of the calendar year, he can attend through video conference and preventing him from appearing through video conferencing is improper.
- Accordingly, one can say that the action of the Chairman is not valid.
  Rajdeep can participate in the Board meeting through video conferencing.

Q20. A director while leaving India for medical treatment abroad informed the Board of directors that he would not be available for the next six months. During his absence, three Board meetings were held and notices were not sent to him. Is there any default under the Companies Act, 2013? What would be the consequences?

Ans.: Notice of Board Meeting [Section 173(3)]:

- A meeting of the Board shall be called by giving not less than 7 days notice in writing to

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every director at his address registered with the company and such notice shall be sent by hand delivery or by post or by electronic means.

- Penalty [Section Every officer of the company whose duty is to give notice and who fails to do so shall be liable to a penalty of 25,000.
- As per SS-I, notice of Board meeting shall be given even when meetings are held on predetermined dates or at pre-determined intervals.
- Notice to director is necessary even if he has informed that he will not be able to attend the Board meeting.
- If the notice of meeting is not given to one of its directors, meeting of Board of directors is invalid and resolution passed at such meeting are inoperative. [Parmeshwari Prasad Gupta v. Union of India]
- Therefore, notice of Board Meeting was required to be given despite the fact that while going abroad, the director had already informed his non-availability during next six months.

Consequences of not giving notice to director:

(i) Resolutions passed at board meeting are null and void.

(ii) Every officer of company who fails to give notice shall be liable to a penalty of 25,000.

Q 21. A company which has 13 Crore of paid up share capital is intending to have a board meeting on 12th December 2022. Its managing director wants to know provisions of the Companies Act, 2013 relating to notice of the meeting to directors on the following points:

(i) The date before which the notice needs to be served either by electronic mode or by post?

(ii) If the company has a predetermined date of 12th of every alternate month for its board meeting, unless otherwise changed, should the notice be sent to the directors every time?

(iii) In case of urgent exigency, Can a board meeting be convened at a shorter notice to the directors?

(iv) Could the notice of Board meeting be issued/sent by any person in the company to the directors?

Ans. Considering the provisions of the Section 173 of the Companies Act, 2013 and SS-I, answer to given case is as follows:

(i) As per Section 173(3), a meeting of the Board shall be called by giving not less than 7 days

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notice in writing to every director at his address registered with the company and such notice shall be sent by hand delivery or by post or by electronic means.

- As per SS- 1 , notice convening a Meeting shall be given at least seven days before the date of the Meeting, unless the Articles prescribe a longer period.
  In case the company sends the Notice by speed post or by registered post or by courier, an additional two days shall be added for the service of Notice.
- Thus, if company intends to hold board meeting on 12th December 2022 then notice must be sent on or before 3rd December 2022 if notice sent by hand delivery/post.
- If the notice is sent by electronic mode then it must be sent on or before 5th December 2022.

(ii) As per SS-I, notice of Board meeting shall be given even when meetings are held on predetermined dates or at pre-determined intervals. Thus, even if the company has a predetermined date of 12th of every alternate month for its board meeting, the company must send notice as per dates mentioned above i.e. 3rd December 2022/5th December 2022.

(iii) A meeting of the Board may be called at shorter notice to transact urgent business subject to the condition that at least one independent director, if any, shall be present at the meeting. However, in case of absence of independent directors from such a meeting of the Board, decisions taken at such a meeting shall be circulated to all the directors and shall be final only on ratification thereof by at least one independent director, if any.

(iv) As per SS-I, notice of board meeting shall be issued by the Company Secretary or where there is no Company Secretary, any director or any other person authorized by the Board for the purpose.

Q22. XYZ Ltd. is a foreign collaborator in ABC Ltd. incorporated in India under the Companies Act, 2013. The foreign collaborator holds 49% of the shareholding. The Board meetings of ABC Ltd are usually held in India and sometimes meetings of the Board are called at a very short notice for which there is a provision in the Articles of Association that during such situations, notices of the meetings of the Board can be sent by e-mail. Comment.

Answer: In terms of the proviso to section 173(3) of the Companies Act, 2013 a meeting of the Board may be called at shorter notice to transact urgent business subject to the condition that at least one independent director, if any, shall be present at the meeting. No exception is made

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for any class or classes of companies.

- Further, under section 173(3) a meeting of the Board shall be called by giving not less than seven days' notice in writing to every director at his address registered with the company and such notice shall be sent by hand delivery or by post or by electronic means. If we examine the above provision, it is amply clear that the notice is allowed to be sent, by electronic means also. Hence, the sending of notice by e-mail is a permissible mode of delivery and can be resorted to without any hindrance.
- In case Articles contain such a provision, there is no illegality involved even if there is a foreign collaborator in the company.
- Therefore, in the given case the shorter notice by e-mail is legally permitted.
- It is to be noted that there should be the presence of quorum and at least one independent director at the meeting. The provision of the Articles in this regard is not so relevant since the position is quite clear in the Act itself.

Q23. JKJ Ltd. has 10 directors on its Board, A Board meeting was convened on 19.10.2023 in which two of the directors participated in person and one director through video conferencing. Remaining directors were interested in the agenda and hence; did not participate in the meeting. The auditor claimed that the quorum was not present for the meeting to be validated. Do you agree with the Auditor? Justify your answer in reference to provisions of the Companies Act, 2013.

Ans.: Quorum means the minimum number of Directors whose presence is necessary for holding of a Meeting.

- Quorum for meetings of Board [Section 174(1) - The quorum for a meeting of the Board of Directors of a company shall be higher of the following two:
  - 1/3rd of its total strength (fraction rounded up to next) or
  - Two directors
- The article of the company may provide for higher quorum.
- "Total strength" shall not include directors whose places are vacant.
- As per SS- 1, directors participating through Electronic Mode in a Meeting shall be counted for the purpose of quorum, unless they are to be excluded for any items of business under the provisions of the Act or any other law.
- Required quorum for board meeting of JKJ Ltd. = 10 x 1/3 = 4 (3.33 rounded up to next)

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- Since two directors attended in person and one director through video conferencing there was an absence of quorum. The view taken by the Auditor is correct and acceptable.

Q 24. Explain the following terms with reference to virtual meeting.

(i) Electronic mode

(ii) Roll call

Ans.: (i) Electronic Mode in relation to Meetings means Meetings through video conferencing or other audio-visual means.

- Video conferencing or other audio-visual means audio-visual electronic communication facility employed which enables all the persons participating in a Meeting to communicate concurrently with each other without an intermediary and to participate effectively in the Meeting.

(ii) A roll call is nothing but identifying and confirming the attendance of the director participating through Electronic Mode.

- As per Rule 3(4) of the Companies (Meetings of Board and its Powers) Rules, 2014, at the commencement of the meeting, a roll call shall be taken by the Chairperson when every director participating through video conferencing or other audio visual means shall state, for the record, the following namely:
  a. Name
  b. Location from where he is participating
  c. That he has received the agenda and all the relevant material for the meeting.
  d. That no one other than the concerned director is attending or having access to the proceedings of the meeting at the location from where he is participating.

Q25. Examine with reference to the provisions of the Companies Act, 2013 whether notice of a Board Meeting is required to be sent to the following persons:

a) Alternate director

b) An interested director

c) A director who has expressed his inability to attend a particular Board Meeting

d) A director who has gone abroad (for less than 3 months)

What if the above omissions were accidental?

Answer: As per Section 173(3), a meeting of the Board shall be called by giving not less than 7

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days' notice in writing to every director at his address registered with the company and such notice shall be sent by hand delivery or by post or by electronic means.

a) Since an alternate director is also a director, he is covered in the term 'every director', and so notice of Board meeting must be sent to alternate director

b) Since an interested director is also a director, he is covered in the term 'every director, and so notice of Board meeting must be sent to interested director though he is not allowed to participate and vote, he has a right to receive information about the same.

c) A director who has expressed his inability to attend a particular Board Meeting also must be given notice.

d) Notice of board meeting must be sent to a director who has gone abroad (irrespective of the period of his stay outside India and irrespective of the fact that an alternate director has been appointed in his place or not). Notice shall be served on him at his address registered with the company.

If the notice was improper, the meeting shall be void, and consequently, all the resolutions passed at such meeting such be invalid. Even an accidental omission to give notice to a single director would render the resolution passed at that meeting void.

Q26. The Board of a company had total strength of 12 directors. There was a vacancy of two directors in the Board. Referring to the provisions of the Companies Act) 2013 answer the following:

i. **What is the quorum required for the board meeting of the company?**
ii. **In case, nine directors are interested in a particular matter which is to be discussed in a meeting, what shall be the quorum for the meeting under such scenario?**
iii. **In a particular meeting; six directors participated and three of them participated through video conferencing. Would the meeting be considered valid?**
iv. **In the attendances register meant for board meeting, whether directors participating through video/audio visual means will entered?**

Ans. Quorum means the minimum number of Directors whose presence is necessary for holding of a Meeting.

Quorum for meetings of Board [Section 174) - The quorum for a meeting of the Board of

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Directors of a company shall be higher of the following two:

- 1/3rd of its total strength (Fraction rounded up to next) or
- two directors

The article of the company may provide for higher quorum.

"Total strength" shall not include directors whose places are vacant.

- Quorum in case of interested director present at the board meeting [Section 174(3)]: Where at any time the number of interested directors exceeds or is equal to 2/3rd (fraction rounded up to next) of the total strength of Directors, the number of directors who are not interested directors and present at the meeting, being not less than two, shall be the quorum during such time.

- As per SS-1, directors participating through Electronic Mode in a Meeting shall be counted for the purpose of quorum, unless they are to be excluded for any items of business under the provisions of the Act or any other law.

- As per SS-1, In case of Directors participating through Electronic Mode, the Chairman shall confirm the attendance of such Directors.
  - For this purpose, at the commencement of the Meeting, the Chairman shall take a roll call.
  - The Chairman or Company Secretary shall request the Director participating through Electronic Mode to state his full name and location from where he is participating and shall record the same in the Minutes.
  - The proceedings of such Meetings shall be recorded through any electronic recording mechanism and the details of the venue, date and time shall be mentioned.
  - The attendance register shall be deemed to have been signed by the Directors participating through Electronic Mode, if their attendance is recorded by the Chairman or the Company Secretary in the Attendance Register and the Minutes of the Meeting.

Considering the provisions, answer to given case is as follows:

i. Required quorum for board meeting (12 — 2) x 1/3 = 4 (3.33 rounded up to next)

ii. If nine directors are interested in a particular matter out of 10 directors, then directors present at the meeting, being not less than two, shall be the quorum.
Since only 1 remaining director will be counted, required quorum is not present and business in which 9 out of 10 directors are interested cannot be validly transacted.

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iii. Directors participating through Electronic Mode in a Meeting shall be counted for the purpose of quorum.

iv. Directors participating through video/audio-visual means will be entered in Attendance Register and the Minutes of the Meeting.

Q27. Moonlight ltd held its board meeting through video conferencing. Due to technical problems, the video recording which was done, could not be retrieved. The company seeks your advice for the preparation and recording of the minutes of the board meeting in the above situation, under the provisions of the Companies Act, 2013.

Answer:

- According to Rule 3 of the Companies (Meetings of Board and its Powers) Rules, 2014, at the end of discussion on each agenda item, the Chairperson of the meeting shall announce the summary of the decision taken on such item along with names of the directors, if any, who dissented from the decision taken by majority and the draft minutes so recorded shall be preserved by the company till the confirmation of same.

- The draft minutes of the meeting shall be circulated among all the directors within 15 days of the meeting either in writing or in electronic mode as may be decided by the Board.
  Every director who attended the meeting, whether personally or through video conferencing or other audio visual means, shall confirm or give his comments in writing, about the accuracy of recording of the proceedings of that particular meeting in the draft minutes, within 7 days or some reasonable time as decided by the Board, after receipt of the draft minutes failing which his approval shall be presumed.

- In the given case, though recording could not be retrieved but the secretary of Moonlight Limited in consultation with the Chairman of the meeting can use the draft minutes that would have been recorded during the meeting to prepare the minutes.

- Further, when the same minutes will be circulated to the directors, they can give comments in writing, about the accuracy of recording of the proceedings of that particular meeting in the minutes, within 7 days or some reasonable time as decided by Board.

Q28. M/S OBC ltd at its forthcoming Board Meeting decided that it will not provide the directors with the facility of participation in the said meeting through electronic mode;

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can the directors insist on attending the meeting through such mode? Will your answer differ, if a director participates in a Board Meeting through electronic mode from his end even if company does not provide such facility?

Ans: It is mandatory for the companies to provide audio visual means facility for participation in Board meetings to the Directors if they insist .

- The same has been established in the case law of Achintya Kumar vs Ranjit Barthkur .
- The word "may" used in Section 173 (2) only gives an option to the Director to choose whether he would be participating in person or through audio visual means.
- This word "may" does not give option to the company to deny this right given to the Directors for participation through audio visual means.

Q29. Discuss the following situations with respect to the quorum.

a) There are 9 directors in a company and out of which 2 offices of the directors have fallen vacant.

b) There are 15 directors in a company and during discussion of a particular item, 13 of the directors are said to be interested within the meaning of section 184.

Ans: As per Section 174(1), the quorum for a Board meeting shall be higher of

- 1/3rdof total strength (any fraction contained in that one-third shall be rounded off as one); or
- 2 directors.

'Total strength' shall not include directors whose places are vacant.

(a) In the present case, the total strength shall be 9 – 2= 7 directors. Quorum shall be higher of 2 or 1/3rd of 7 i.e. 2.33. Any fraction of a number shall be rounded off as one, Accordingly, the quorum shall be 3 directors (being higher of 2 or 3).

(b) As per Section 174(3), where at any time the number of interested directors (present in the Board meeting) exceeds or is equal to 2/3rd of the 'total strength', the number of disinterested directors present at the meeting, being not less than two, shall be the quorum.

- In the instant case, 1/3rd of 15 comes to 5.

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- Thus, a Board meeting can commence only if at least 5 directors are present. Since all the 15 directors are present, the Board meeting has validly commenced. During discussion on a particular item of business 13 directors are interested.
- 2/3rd of the total strength' comes to 10. Since the number of interested directors (present in the Board meeting) is 13, which is more than 2/3rd of total strength (viz. 10). Section 174(3) has become applicable.
- Thus, the remaining 2 directors who are not interested shall constitute the quorum and hence such item of business can be validly transacted (i.e. discussed and voted upon).

Q30. The board meeting of MNO ltd was held on 10th May 2018 at Chennai at 11 am. At the time of starting the board meeting the number of directors present were 7. The total number of directors were 10. The board transacted ten items in the Board meeting. At 12 noon after the completion of four items in the agenda 4 directors left the meeting. Examine the validity of these transactions.

Ans:

- As per Section 174(1), the quorum for a Board meeting shall be higher of- (a) 1/3rd of total strength (any fraction contained in that one-third shall be rounded off as one); or (b) 2 directors.
- Quorum has to be present at the time of transacting each and every business. It is not enough that a quorum was present at the commencement of the meeting. Therefore, where quorum is present at the beginning of the meeting, but some of the directors leave the meeting, so that remaining directors do not constitute quorum, any subsequent resolutions will be invalid.
- In the given case, total strength is 10. Quorum for the Board meeting held on 10th May, 2018 shall be 1/3rd of 10 directors, ie.3.33, rounded off to 4. Since 7 directors were present at the time of commencement of the Board meeting, the Board meeting has been validly held.
- However, after transacting 4 items on agenda, 4 directors left, because of which the number of directors present has fallen below the quorum required. Since, quorum is required at the time of transacting each and every business, the remaining 6 agenda items cannot be validly discussed and voted upon.
- Therefore, resolutions passed in respect of these 6 agenda items are void, and have no legal effect.

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Q31. The articles of association of Amriz ltd provides for a maximum of 15 directors. But the company has only 10 directors and for two of them representing collaborators, alternate directors have been appointed. Board meeting held on 1st august 2018 was attended by four directors including two alternate directors. Examine whether quorum was present at the Board meeting held on 1st august 2018. Will your answer be different if the articles provide for a quorum of six directors?

Answer: As per Section 174(1), the quorum for a Board meeting shall be higher of- (a) 1/3rd of total strength (any fraction contained in that one-third shall be rounded off as one); or (b) 2 directors.

In the Board meeting of Amriz Limited, 4 directors (including 2 alternate directors) are present. The two alternate directors shall also be included while determining as to whether quorum is present or not.

Since the directors present in the Board meeting (i.e. 4 directors) are not less than the required quorum (i.e. 4 directors), the required quorum is present in the Board meeting held on 1stAugust, 2018.

However, if the articles provide for a quorum of 6 directors, the required quorum shall be 6. In such case, the required quorum is not present in the Board meeting held on 1stAugust, 2018.

Q32. A meeting of the Board of 'No Holiday Ltd' was held on a holiday on account of Ganesh Chaturthi. However due to lack of quorum, the proceedings of the meeting could not be held and therefore the Chairman of the meeting with the consent of the majority decided that the Board meeting be adjourned to next week on the same day. However, the date fixed for the adjourned meeting happened to be a Sunday. Comment on the validity

Answer: In such case, where a board meeting is adjourned due to lack of quorum, then under section 174(4) the adjourned meeting can be held on the same day at the same time and place in the next week or if that day is a national holiday, till the next succeeding day, which is not a national holiday, at the same time and place, unless the Articles provide otherwise. Since Section 174(4) specifies exclusion of only a national holiday, any original/adjourned/ committee meetings can be held on Sundays and other holidays.

In view of this provision, the adjourned meeting of the Board of 'No Holiday Ltd' can be held on Sunday without involvement of any illegality.

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Q33. Proximo limited has 9 directors out of whom 3 directors have gone abroad. The Chairman had an urgent matter to be approved by the Board of Directors which could not be postponed till the next board meeting. The Company therefore circulated the resolution for the approval of the directors. 4 out of 6 directors in India approved the resolution. The Company claimed that the resolution was passed. Examine with reference to the provisions of Section 175 of the Companies Act, 2013 the validity of the resolution.

Answer: As per Section 175 read with Rule 5 of the Companies (Meetings of Board and its Powers) Rules, 2014), a resolution may be passed by the Board by circulation if the following conditions are satisfied: • The resolution has been circulated in draft, together with necessary papers, to all the directors at their addresses in India registered with the company, by hand delivery or by post or by courier, or through electronic means.

A resolution shall be passed by circulation if any of the 5 directors (whether in India or outside India) vote in favour of the resolution. However, the resolution has been approved by only 4 directors. Since approval by majority of all the directors has not been obtained, the resolution has not been passed by circulation.

Q34. In respect of certain matter which did not require to be decided at a board meeting, PQR Ltd. thought it prudent to pass resolution thereof by circulation. Accordingly, a draft resolution was circulated among all the six directors by e-mail. Three directors did not give their consent and desired that the resolution was required to be decided at a meeting.

Ans: In the light of the Proviso to Section 175 (1) where minimum 1/3rd of the total number of directors require that any resolution under circulation must be decided at a meeting, the Chairperson shall put the resolution to be decided at a meeting of the Board.

In the given case, one-half of the total number of directors (i.e. three out of six) requires that the resolution must be decided at a Board meeting. Since their counting is more than one-third of total strength, the Chairperson needs to take the call and put the resolution to be decided at a duly convened meeting of the Board.

Q.35. A company has passed two resolutions by circulation with a majority of five directors where Total strength of the board is of nine .TWO directors required that such

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a resolution should be decided at the meeting of the board. Answer the following questions under such scenario referring to the provisions of the Companies Act, 2013:

(a) Whether the Claim of the two directors that the resolution should be passed at the meeting of the Board only is valid?

(b) How the resolution passed by circulation will be recorded in the minutes of the board meetings?

(c) If the draft resolution was not sent 'to one director by inadvertent mistake, should the resolution be considered invalid?

(d) If the single approval has been given by the majority of directors for both the resolutions together, whether such approval will be considered as valid?

Ans.: Considering provisions of the Section 175 of the Companies Act, 2013, answer to given case is as follows:

(a) If not less than 1/3rd of the total number of directors of the company require that any resolution under circulation must be decided at a meeting, the chairperson shall put the resolution Co be decided at a meeting of the Board.

In given case only two directors [Not by 1/3rd of the total number of directors] made demand to pass resolution at board meeting and hence resolution can be passed by circulation and the company need not pass the resolution at board meeting.

(b) A resolution passed by circulation shall be noted at a subsequent meeting of the Board or the committee thereof, and made part of the minutes of meeting.

(c) The resolution should be circulated to all the directors, or members of the committee. Thus, if the draft resolution was not sent to one director by inadvertent mistake, the resolution is invalid.

(d) Each resolution shall be separately explained. The decision of the directors shall be sought for each resolution separately.

Q36. The Chairman Of the Board of Directors Of Jagruti Printers Ltd. has sent. a draft of Resolution along with necessary papers to all the ten directors of the company to get it passed through a resolution by circulations. The last date for signifying the assent or dissent is 20th November, 2019. On 15th November, 2019, six directors communicated

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their assent while on 17th 2019 the remaining 4 directors requested that the resolution must be decided at a meeting, Referring to the relevant provisions of the Companies Act, 2013, decide whether the resolution can be deemed 'to have been passed or requires to be decided at a Board of Directors meeting?

Ans.: Passing of resolution by circulation [Section 175]:

Resolution shall be deemed to have been duly passed by the Board or by a committee by circulation if following conditions are fulfilled:

- The resolution has been circulated in draft, together with the necessary papers.
- The resolution should be circulated to all the directors, or members of the committee.
- It shall be circulated at their addresses registered with the company in India by hand delivery or by post or by courier, or through electronic means.
- Such circular resolution shall be approved by a majority of the directors or members, who are entitled to vote on the resolution.
- Noting and inclusion in minutes: A resolution passed by circulation shall be noted at a subsequent meeting of the Board or the committee thereof, and made part of the minutes of meeting.
- Demand for decision at board meeting: If not less than 1/3rd of the total number of directors of the company require that any resolution under circulation must be decided at a meeting, the chairperson shall put the resolution to be decided at a meeting of the Board.

In given case, not less than 1/3rd of the total number of directors of Jagruti Printers Ltd. had communicated to pass the resolution at board meeting and hence resolution requires to be decided at a Board Meeting and passing of such resolution by circulation is not valid.

Q37. Referring to the provisions of the Companies 2013, advise the directors of a company in the following matters:

(i) The Company wishes to obtain approval of the financial statement in meeting held through video conferencing,

(ii) Due to urgency, the company wants to get its prospectus approved in a meeting held through video conferencing.

Ans.: Participation of directors in board meeting [Section 173(2)]: The participation of directors in a meeting of the Board may be either in person or through video conferencing or

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other audio visual means, as may be prescribed, which are capable of recording and recognizing the participation of the directors and of recording and storing the proceedings of such meetings along with date and time.

Rule 4 of the Companies (Meetings of Board and its Powers) Rules, 2014 relating to "matters not to be dealt with in a meeting through video conferencing or other audio visual means" is deleted. Thus, Board of directors' can transact any matters including approval of annual financial statements and approval of prospectus through video conferencing.

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